Entrepreneurship Development

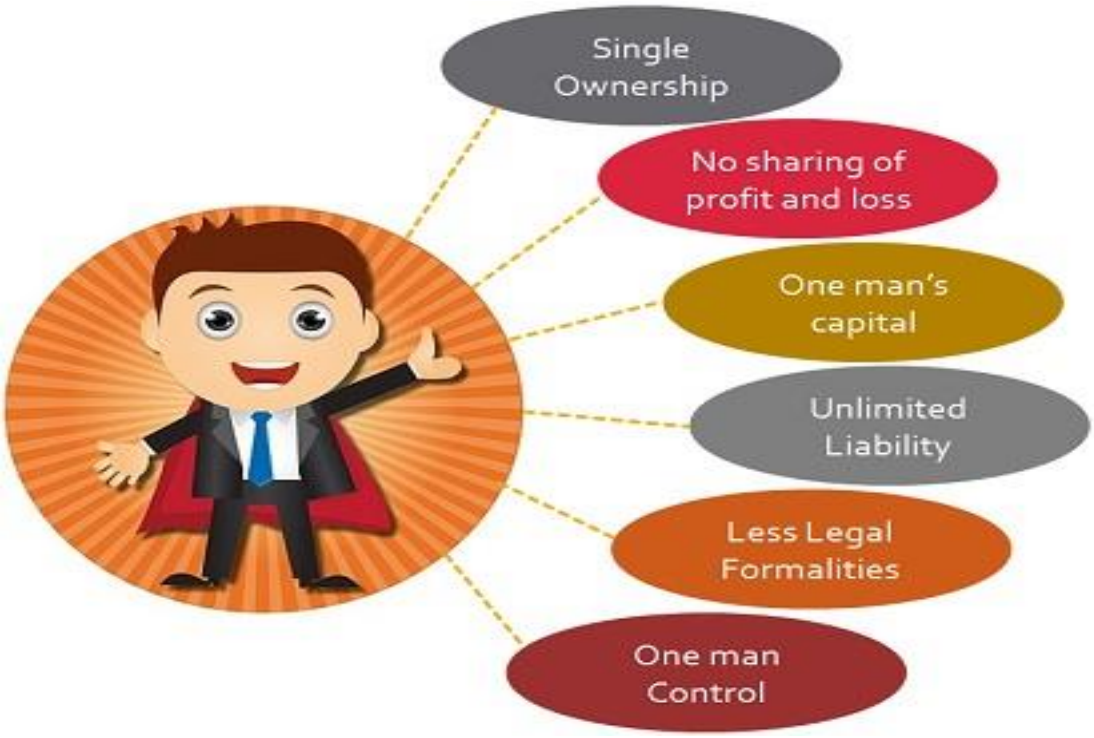
Chapter: 07. Sole-Proprietorship Business

Sole-Proprietorship

The business that is owned by a single person is known as proprietorship or sole-proprietorship business. This type of business is the traditional and usual form of business ownership. A single owner is the absolute possessor of the business. He/she is the ultimate decision-maker, investor, manager and controller of the business. A sole proprietorship is the easiest type of business to establish or take apart, due to a lack of government regulation. As such, these types of businesses are very popular among sole owners of businesses, individual self-contractors, and consultants. Many sole proprietors do business under their own names because creating a separate business or trade name isn't necessary.

According to Glos and Baker, **"A sole-proprietorship is a business owned by one person and operated for his profit"**.

According to B.O. Wheeler, **"The sole-proprietorship is that form of business ownership which is owned and controlled by a single individual"**.



Advantages of Sole-Proprietorship Business

The sole-proprietorship business is the most simple and common in our country. It has the following advantages:

1. Easy Formation
2. Adequacy of Small Capital
3. Maintenance of Privacy
4. Tax Advantages
5. Flexibility
6. Maintenance of Good Personal Contacts
7. Easy Termination
8. Strict Control
9. Quick Decision and Prompt Action
10. Encourages Self-Employment

Disadvantages of Sole-Proprietorship Business

The sole-proprietorship business also suffers from some disadvantages, which are given below:

1. Small Opportunity for Expansion
2. Poor Credit Standing
3. Unlimited Liability
4. Poor Existence
5. Risk of Wrong Decisions
6. No legal Entity
7. Limited Managerial Ability

Reasons of Survival of Sole-Proprietorship Business

Some absolute advantages or unique causes provide the foundation of survival and expansion of the sole-proprietorship business. Some of the causes of this survival are as follows:

1. A Combination of Effort and Reward

2. A Good Training Field

3. Swift Adjustment of Demand and Supply

4. Small Capital Requirement

5. Individuality and Freedom

6. Suitability for Perishable Products

7. Easy Employment Area

8. Demand of Specific Areas

Entrepreneurship Development

Chapter: 08. Partnership Business

Partnership Business

Different forms of business have evolved gradually. Partnership may be called a secondary development after proprietorship business. When two or more persons develop a contractual relationship between or among them for doing certain type of business and also sharing profit, it is called a partnership business. To cope with limitations of single proprietorship, partnership business was started. A business may have a small beginning as a sole-proprietorship, later expand into a partnership business.

According to Indian Partnership Act of 1932, **"Partnership is the relation between persons who have agreed to share profits of a business carried on by all or any of them acting for all"**.

According to American Partnership Act, **"Partnership is an association of two or more persons to carry on as co-owners of a business for profit"**.

Features of Partnership Business

There are some essential features of partnership business. Some of them are given below:

1. Presence of Contract
2. Association of Individuals
3. Number of Members
4. Existence of Trust and Confidence
5. Division of Profit
6. Capital
7. Lawful Business
8. Unlimited Liability
9. Registered Status
10. Dissolution

Advantages of Partnership Business

Partnership business has certain advantages over and above proprietorship business. These advantages are as follows:

1. Joint Ownership
2. Combination of Expertise
3. Easy Formation
4. Maintenance of Secrecy
5. Team Spirit
6. Flexibility
7. Sharing of Risk
8. Easy Dissolution

Disadvantages of Partnership Business

In spite of various advantages, partnership business suffers from some disadvantages, which are given below:

1. No Separate Entity

2. Unlimited Liability

3. Conflict among Partners

4. Fear of Dishonesty

5. Difficulty in Decision-Making

6. Poor Coordination

7. Investment Withdrawal Difficulty

Contract of Partnership Business

The agreement among partners is known as partnership contract. The written agreement among the partners is called as the partnership deed or the articles of partnership. Partnership business stands on contract or deed. It is called, "The essence of a partnership business is the contract, not the status". Partnership deed may be oral, written, written and registered of these three kinds. To solve future problems, it should be written and registered.

Contents of Partnership Agreement

There are some elements involved in partnership agreement. A written partnership agreement includes the following main features:

1. Name of the partnership business

2. Type of the business

3. Location of the business

4. Expected life of the partnership

5. Name of partners and the amount of each one's investment

6. Procedures for distributing profits and covering losses

7. Amount that partners will withdraw for services

8. Procedures for withdrawal of funds

9. Duties, power, obligations of each partner

10. Procedures for dissolving the partnership
11. Interest on capital, if any, and the rate of such interest
12. Method of determining the capital in the event of death of a partner
13. Management
14. Mode of dissolution
15. How further capital is to be introduced if necessary
16. Operations, bank accounts, audits etc.